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AA - Internal Controls Revision Notes

organised by system, with examiner's comments

Kaplan AA Exam Kit 2025-26 - all 19 Section B control questions consolidated by cycle. Repeated deficiencies/controls (the same underlying issue reused across companies) are merged into one entry with all Questions tagged.

How to use this revision Notes

Where the exam kit reuses the same underlying deficiency or control across different companies (e.g. "the person who amends payroll records also authorises the payment" appears in four different questions), it is merged here into a single entry with every source question tagged in italics. This keeps the list to genuinely distinct concepts rather than four versions of the same point.

The marking pattern

Requirement type	How marks are actually awarded
Direct controls & tests of control	0.5 mark: identify the control. 0.5 mark: explain WHY it's direct - the specific misstatement it prevents or detects. 1 mark: a test of control that gets evidence the control operated.
Deficiencies & recommendations	0.5 mark: identify the deficiency. 0.5 mark: explain the SPECIFIC implication/risk to the business (not "fraud/error"). 1 mark: a detailed, actionable recommendation naming who does what, how often.

Common mistakes - don't lose these easy marks

- A control that is described but NOT operating fully (missing a inspect, review, or segregation) is a DEFICIENCY, not a direct control.
- "This could lead to fraud/error" explains nothing - state the SPECIFIC consequence for that scenario.
- Don't split one control/deficiency into two points to get marks
- Recommendations phrased as objectives ("ensure that...") score half marks - say WHO does WHAT, how often.
- Tests of control = evidence the CLIENT's control operated. Not the auditor performing the control, and not a substantive procedure.

1. Foundations Direct Theory of Control

1.1 Components of internal control (ISA 315 Revised 2019)

Component	What it covers
Control environment	Management's attitude towards, and awareness of, internal control; the "tone at the top".

Component	What it covers
The entity's risk assessment process	Management's own process for identifying and responding to business risks relevant to financial reporting.
The information system and communication	Records/procedures used to initiate, record, process and report transactions (NOT just "the IT system").
Control activities	Policies/procedures ensuring management's directives are carried out (authorisation, segregation of duties, reconciliations, physical/logical controls, verification).
Monitoring of controls	Management's ongoing process for assessing whether controls operate effectively, including internal audit.

Examiner's comments (real, attributed feedback from past sittings)

- Daley Co: candidates were provided the five components in a table but a significant proportion gave circular answers, e.g. "the risk assessment process relates to management's method for assessing risk" - simply repeating the component's name earns nothing.
- Daley Co / Trombone Co: the component most candidates struggled with was "information system and communication" - many wrongly assumed it meant an IT system, when it actually means the records/procedures used to process transactions.

1.2 Limitations of internal control

- Human error - mistakes made by people performing controls.
- Collusion between employees can circumvent segregation of duties.
- Management override - using their position to bypass controls for personal benefit.
- Controls designed for routine, not unusual, transactions.
- Cost/benefit - some controls are not cost-effective.
- Controls become outdated as the business changes.

Examiner's comments (real, attributed feedback from past sittings)

- Pomeranian Co: many candidates ignored the capitalised word "limitations" in the requirement and instead wrote about types of controls, components of internal control, or scenario deficiencies - none of which answer the question asked.

1.3 Documentation methods

Method	What it is	Advantage / disadvantage
Narrative notes	Written description of what happens at each stage of the system.	*Adv: quick to prepare, easy to understand.* *Disadv: individual controls hard to pick out; unwieldy for complex systems.*
ICQs	Standardised list of questions assessing whether typical controls exist.	*Adv: prepared in advance, ensures common controls aren't missed.* *Disadv: may miss unusual controls; management may overstate.*
Flowcharts	Diagrammatic illustration of the system and its controls.	*Adv: missing controls easy to spot visually.* *Disadv: time-consuming to prepare/update.*

Examiner's comments (real, attributed feedback from past sittings)

Method	What it is	Advantage / disadvantage
• Castle Courier Co / Swift Co: simply restating the term ("internal control questionnaires are questionnaires") gives no additional detail and scores nothing - describe what the method actually does. • Swift Co: some candidates confused a flowchart with a data graph rather than a diagram of the system.		

1.4 Control types & classification

Control activity	Tests of controls
Authorisation and approvals	• **Inspection** of documents evidencing authorisation (e.g. asset (“capital expenditure”) requisition). • **Inquiry** regarding authorisation procedures and authorising parties
Reconciliations	• **Inspect** reconciliations and evidence of independent review. • **Reperformance** of reconciliations.
Verifications	• **Reperformance** of arithmetical checks. • **Reperformance** of sequence checks. • **Inspection** of reports for evidence of follow-up.
Physical or logical controls	• **Observation** of secured/ password access. • **Observation** of inspection of physical assets. • **Inspection** of evidence of comparison of book to physical assets (e.g. in a non-current asset register). • **Reperformance**of physical to book comparisons (e.g. test counts when attending a physical inventory count).
Segregation of duties	• **Observation** of segregation of duties • **Inspection** of documents that evidence segregation of duties • **Inquiry** regarding segregation

Common mistakes - don't lose these easy marks

- Classifying a whole-system control as an application control (or vice versa) - ask "does this affect everything, or just this cycle?"
- An auditor's actual-vs-budget comparison is a SUBSTANTIVE analytical procedure, not a test of control.

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2. Payroll cycle

Control objectives - what this system should achieve
• Only genuine employees are paid, for hours actually worked. • Wages/salaries are calculated accurately using authorised pay rates. • Payroll costs are recorded completely, accurately and in the correct period. • Statutory deductions are calculated and remitted correctly. • Payments are made to the right employee, only once.

Direct controls & tests of control (12 distinct controls)

Direct control	Why it's direct (specific misstatement prevented/detected)	Test of control	Source(s)
Clocking-in/sign-in process supervised by security staff and/or CCTV.	Ensures genuine employees are only paid for hours actually worked, and prevents one employee signing/clocking in for another.	Observe the sign-in process to confirm supervision; review a sample of CCTV footage or the review log to confirm the process is recorded and checked.	*Francisco Co / Petra Co / Castle Courier Co / Raspberry Co*
Access to payroll standing data restricted via a password, changed regularly (e.g. monthly).	Prevents unauthorised access to standing data, reducing the risk of mistakes or fraudulent changes to pay rates.	Attempt to access standing data using an out-of-date password (with client knowledge) and confirm the system rejects access.	*Francisco Co / Castle Courier Co*
Gross-to-net pay calculations independently recalculated for a sample of employees and reviewed/signed off before payment.	Detects system-generated calculation errors before employees are paid, reducing over/underpayment.	Inspect a sample of recalculations for evidence of sign-off; reperform a sample and compare to payroll system output.	*Petra Co / Castle Courier Co / Swift Co*
A second, more senior person checks rate changes or bonus input for errors, evidenced by signature.	Reduces the risk of input errors resulting in over/underpayment.	Review the relevant listing/report for evidence of the senior reviewer's signature.	*Petra Co / Raspberry Co*
Pay packets prepared by two staff members (one preparing, one checking), evidenced by both signing.	Segregation of duties reduces the likelihood of errors or fraudulent inflation of pay packets going undetected.	Observe preparation to confirm two staff are involved; inspect the weekly listing for both signatures.	*Petra Co / Raspberry Co*
Staff issued sequentially numbered key/ID cards, with regular sequence checks performed.	Ensures payroll records are complete and all employees' hours are recorded.	Carry out a sequence check on a sample of cards/data; review evidence the client's own checks were performed.	*Castle Courier Co*
Monthly payroll account reconciliation performed and reviewed by the finance director.	Ensures the payroll expense and employment tax liability are accurate and not misstated.	Review reconciliations for evidence of investigation and review; reperform a sample and discuss differences.	*Castle Courier Co*
Employment tax liability calculated by the payroll supervisor and independently reviewed by the financial controller.	Creates segregation of duties and ensures the amount paid to the tax authority is correct.	Review a sample of monthly tax calculations for evidence of the reviewer's sign-off.	*Castle Courier Co*
A separate HR department sets up all new employees, using pre-printed joiner forms and a unique employee number the payroll	Reduces the risk of fictitious employees being set up and paid, which would overstate payroll costs.	Review job descriptions/discuss the process to confirm HR initiates joiners; attempt to add a joiner	*Swift Co / Snowdon Co / Raspberry Co*

Direct control	Why it's direct (specific misstatement prevented/detected)	Test of control	Source(s)
system requires before it can process a new joiner.		without a unique employee number and confirm rejection.	
An exception report of changes to payroll standing data is produced and reviewed by a senior official on a regular basis.	Ensures unauthorised amendments to standing data are identified and investigated on a timely basis.	Select a sample of exception reports and review for evidence of review and follow-up.	*Swift Co / Raspberry Co*
Clock card data automatically transfers into the payroll system's hours-worked report.	Reduces the risk of input errors when entering hours to be paid.	Use test data to input dummy clock card information and verify it updates correctly in the payroll system.	*Raspberry Co*
Cash for pay packets is delivered by a security company rather than collected informally.	Cash for a large payroll needs to be safeguarded to reduce the risk of misappropriation.	Enquire how cash is delivered; review a sample of the security company's invoices for delivery evidence.	*Raspberry Co*

Control deficiencies, implications & recommendations (21 distinct deficiencies)

Control deficiency	Why it's a deficiency (specific implication)	Recommendation	Source(s)
Payroll/wage calculations are generated automatically by the system with no independent check before payslips/payments are issued.	System errors during processing may go undetected, resulting in over/under calculated wages, additional payroll cost or loss of employee goodwill.	A senior payroll team member should recalculate gross-to-net pay for a sample of employees, compare to system output, and sign off before payment.	*Francisco Co / Whittaker Co / Raspberry Co / Trombone Co*
The same individual (e.g. senior payroll manager) both amends payroll records for changes AND authorises the bank transfer/payment listing.	Lack of segregation of duties: the individual could fraudulently increase amounts paid to certain employees, process the payment, then amend records to conceal it.	This individual should not process payroll changes as well as authorise payments; authorisation should be by someone outside payroll, e.g. the finance director.	*Francisco Co / Snowdon Co / Raspberry Co / Bronze Industries Co*
New employees (including temporary staff) are set up on payroll without a proper HR joiner-form process — e.g. via email, by a production supervisor, or by payroll itself.	Incomplete details could result in incorrect/late pay; bypassing HR authorisation increases the risk of fictitious individuals being added to payroll.	All appointments should be processed only by HR using an authorised joiner form, completed and verified before payroll can add the employee.	*Whittaker Co / Castle Courier Co / Bronze Industries Co / Equestrian Co*
Overtime worked reports are only reviewed/authorised after the overtime has already been paid.	Employees could be paid for hours not worked (increased cost) or the reports may contain errors detected too late to prevent misstatement.	Overtime should be authorised by a responsible official in writing BEFORE payroll processes payment.	*Whittaker Co / Freesia Co / Bronze Industries Co*
Discretionary bonuses are determined by a non-senior official (e.g. HR manager, production/operations supervisor) with no approved parameters.	The individual could pay bonuses inappropriately or favour friends/family, resulting in additional payroll costs.	Bonuses should be determined by a senior official against documented, board-approved criteria and communicated to payroll in writing.	*Whittaker Co / Castle Courier Co / Raspberry Co / Bronze Industries Co*
Bonus or other manual payroll input is not independently checked after entry.	Input errors, or fraudulent changes by the person entering data, could go undetected, leading to incorrect payments and increased costs.	Entries should be input by one clerk and double-checked against supporting written confirmation by a second team member.	*Whittaker Co / Bronze Industries Co*
Holiday request forms require line manager authorisation, but this does not always occur.	Employees could take unauthorised leave (causing staffing/operational	Employees should be told they cannot take holiday without an authorised form; payroll should not	*Castle Courier Co / Raspberry Co*

Control deficiency	Why it's a deficiency (specific implication)	Recommendation	Source(s)
	difficulties) or be overpaid for leave that was not properly authorised.	process holiday payments without it.	
An edit report of payroll amendments is produced but not reviewed.	Errors made when amending payroll, or fraudulent changes, will not be identified — this could mean new employees aren't paid, leavers are paid after leaving, or fictitious employees are added.	The edit report should be reviewed regularly by a senior official, evidenced by signature, with unusual amendments investigated.	*Daley Co / Castle Courier Co*
Only overtime above a certain threshold (e.g. 5 hours, or 30% of standard hours) requires authorisation.	Employees could claim overtime up to the threshold without any authorisation at all, increasing payroll costs.	ALL overtime, including amounts below the threshold, should require authorisation by a responsible official, evidenced by signature.	*Castle Courier Co / Trombone Co*
Cash pay packets are distributed to employees (sometimes via production supervisors) without requiring proof of identity.	Wages could be paid to the wrong employee, in error or through fraud; a non-independent supervisor distributing packets could also favour friends.	Cash wages should only be paid on sight of the employee's ID/clock card, ideally distributed directly by payroll rather than via supervisors.	*Castle Courier Co / Raspberry Co / Bronze Industries Co*
Employee/driver breaks are not monitored.	Employees could take longer breaks than entitled (payment for time not worked) or too few (breach of law/regulation, risking fines).	Monitor break-taking electronically or via supervision, with records reviewed regularly by a responsible official.	*Castle Courier Co / Bronze Industries Co*
Multiple/all payroll staff have unrestricted ability to amend standing data or process pay rate increases directly.	Increases the risk of errors or unauthorised changes leading to incorrect wage payments and fraud.	Standing data amendment access should be restricted to a senior official, with changes checked by another responsible person and logged for review.	*Snowdon Co / Trombone Co*
A responsible official (e.g. finance director) reviews the bank transfer/payments list total only, not the detail of amounts per employee.	Employees could be omitted, or fictitious employees added, while the total still agrees to payroll records, allowing fraudulent payments.	The official should sample-check individual payment details against payroll/HR records (and vice versa) before authorising, evidenced by signature.	*Freesia Co / Trombone Co*
The automated transfer of hours worked (e.g. from a key card system) into payroll is not checked.	Errors or overpayments could be made without detection, resulting in loss of employee goodwill.	The transfer of hours should be checked by a senior payroll official before the payroll is finalised, evidenced by signature.	*Daley Co*
A wage rate increase was decided and notified to payroll informally (e.g. by email) rather than through a formal board-approved process.	Pay decisions of this significance should be made by the board; informal notification also allowed the payroll supervisor to enter the change without further authorisation, increasing fraud/error risk.	Pay increases should be proposed by HR and formally agreed by the board, with written notification triggering an exception report requiring sign-off before going live.	*Equestrian Co*
The clocking-in process is not supervised.	One individual could clock in multiple employees, substantially increasing payroll cost for hours not actually worked.	The clocking process should be supervised by a responsible official, with random checks against the swipe log.	*Bronze Industries Co*
Student loan (or similar third-party) deductions continue to be paid with no monitoring of the cumulative balance owed.	Overpayments may need to be reclaimed (employee dissatisfaction); underpayment or late payment could breach remittance obligations and risk fines.	Payroll should maintain a schedule of payments/balance owing per employee, reconciled at least annually to the third party's statement.	*Raspberry Co*
Monthly management accounts do not analyse variances between	Unusual trends or errors in payroll costs may go unnoticed and uninvestigated.	Management accounts should be amended to include an analysis of	*Raspberry Co*

Control deficiency	Why it's a deficiency (specific implication)	Recommendation	Source(s)
actual and budgeted wages/salaries.		wages/salaries against budget, with significant variances investigated.	
Payroll clerks are meant to check that time taken off in lieu matches the overtime worked report, but this has not always occurred.	Employees could take unauthorised leave if time off is granted without the corresponding overtime having actually been worked.	Clerks should be reminded of the required check and sign the overtime sheet as evidence it was performed.	*Trombone Co*
Department heads only respond to the overtime report by exception (silence is treated as confirmation it's correct).	Busy or unresponsive department heads mean incorrect reports go unnoticed, risking incorrect overtime payments.	All department heads should be required to actively confirm the report is correct; payroll should follow up non-replies and withhold payment until agreed.	*Trombone Co*
Department heads are meant to arrange cover for overtime authorisation during annual leave, but this has not always happened.	Late authorisation delays overtime payments, causing employee dissatisfaction.	Department heads should be reminded of cover procedures; payroll should monitor timely submission during leave periods and follow up late sheets.	*Trombone Co*

Examiner's comments (real, attributed feedback from past sittings)

- Francisco Co: candidates repeatedly mixed up controls and deficiencies for the same system — e.g. "purchase invoices are matched to a copy of the order and passed for authorisation" was wrongly claimed as a direct control, when the missing GRN match made it a deficiency. If a described control is not operating fully, it belongs in the deficiencies answer, not the direct controls one.
- Petra Co / Castle Courier Co: several candidates split a single control into two separate answer points to pad their count (e.g. "system calculates pay" and "supervisor rechecks it" listed separately) — since only a set number of points are marked, this wastes answer slots and caps the achievable mark.
- Snowdon Co: a commonly given wrong answer was "credit limits are set for new customers by the sales director" offered as a direct control — but because limits were never reviewed afterwards, the control was incomplete and should have been a deficiency instead.
- Raspberry Co: performance on tests of control was described as disappointing — many candidates still confuse substantive procedures with tests of control (e.g. "recalculate gross to net pay" is substantive; "inspect for evidence of recalculation" is the test of control).
- Trombone Co: a significant number of candidates suggested substantive procedures (e.g. "recalculate gross and net pay") when a test of control was required, and vice versa — know which one is being asked for before you start writing.
- Bronze Industries Co: on the question about internal audit's impact on the external auditor's work, many answers stayed too generic ("rely on IA's work") instead of giving concrete examples tied to the scenario, such as using IA's systems documentation at interim or IA-performed inventory counts at final.

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3. Purchases & payables cycle

Control objectives - what this system should achieve
• Goods/services are only ordered when needed, from approved suppliers. • Goods received are agreed to a valid order before acceptance. • Liabilities are recorded completely, accurately, and in the correct period. • Invoices are matched and paid only once, for goods actually received.

Direct controls & tests of control (7 distinct controls)

Direct control	Why it's direct (specific misstatement prevented/detected)	Test of control	Source(s)
Purchase orders authorised per a value-tiered authority limit (e.g. lower value by purchasing manager, higher value by purchasing director).	Ensures goods purchased are genuine, appropriately-sized business expenditure, reducing unauthorised or fraudulent spend.	Select a sample of purchase orders and review for evidence of authorisation matching the value against the approved signatories list.	*Francisco Co / Swift Co*
Goods received are checked for quantity/quality against the purchase order by the warehouse team, generating a GRN.	Prevents the company recording liabilities for, or paying for, inferior quality goods or goods it did not order.	Observe the warehouse department receiving goods; review a sample of GRNs for signature evidencing the check.	*Swift Co*
Purchase invoices are logged in batches using control totals rather than simple count checks.	Ensures both completeness and accuracy of input, preventing payables misstatement from incomplete/inaccurate input.	Select a sample of control total sheets and review for evidence of use and the clerk's signature.	*Swift Co*
Supplier statement reconciliations performed monthly and reviewed by a responsible official.	Ensures errors in recording purchases/payables are identified and corrected on a timely basis, so payables are complete and accurate.	Review the file of reconciliations for regular performance and evidence of review; reperform a sample and check discrepancies were investigated.	*Swift Co*
The finance director authorises the bank transfer payment list after agreeing amounts to supporting documentation and checking for duplicates/unfamiliar names.	Reduces the risk that suppliers are paid an incorrect amount, or that sums are paid to fictitious suppliers.	Review the payments list for evidence of the FD's review; enquire what supporting documentation is requested during the review.	*Swift Co*
Payments are made by the cashier's office and recorded by a separate purchase ledger team (segregation of duties).	Prevents one person having both custody of cash and record-keeping responsibility, which would allow fraud to be concealed.	Observe the payment process to confirm segregation; inspect the organisational chart to confirm the roles are separate.	*Equestrian Co*
Paid invoices are stamped 'paid' and filed separately from unpaid invoices.	Prevents invoices being paid twice, avoiding unnecessary cash outflow and understated payables.	Inspect the file of paid invoices to confirm they are kept separate and correctly stamped.	*Equestrian Co*

Control deficiencies, implications & recommendations (11 distinct deficiencies)

Control deficiency	Why it's a deficiency (specific implication)	Recommendation	Source(s)
Goods received are checked against the supplier's delivery note only,	Goods not actually ordered may be accepted, wasting company resources.	Warehouse staff should agree deliveries to both the delivery note	*Francisco Co*

Control deficiency	Why it's a deficiency (specific implication)	Recommendation	Source(s)
not agreed back to the purchase order.		and a copy of the original order, evidenced by signature.	
Purchase invoices are given a system-generated reference number rather than being sequentially numbered.	The company cannot monitor whether all invoices have been completely recorded, risking late payment and undetected missing invoices.	The system should automatically assign purchase invoices a sequential number, with regular sequence checks to identify gaps.	*Francisco Co*
Purchase invoices are matched to the purchase order but not agreed to the related GRN before authorisation and input.	Invoices could be paid for goods that were never received, increasing costs.	All purchase invoices should be matched to both the purchase order and the related GRN before being authorised for payment.	*Francisco Co / Pomeranian Co*
Access to amend the supplier master file is available to all/multiple purchasing staff with no restriction or review of changes.	Increased risk of fraud: staff could add fictitious suppliers and place fraudulent orders undetected.	Master file amendment access should be restricted to authorised individuals, with a log of changes reviewed regularly by a responsible official.	*Petra Co / Pomeranian Co*
GRNs/orders are not copied to the relevant department (e.g. finance or the ordering department) that needs them to monitor fulfilment or match invoices.	The department cannot monitor unfulfilled orders (risking stock-outs/lost sales) or match invoices to proof of receipt (delaying payment, risking supplier goodwill).	The GRN should be created in multiple parts, with a copy routed to each department that needs it, and unmatched/unfulfilled items reviewed regularly.	*Petra Co / Freesia Co / Comet Publishing Co*
Invoice input relies only on document count controls, which confirm completeness but not accuracy or validity.	If invoices are not input correctly, suppliers may not be paid on time or may be paid an incorrect amount, risking loss of supplier goodwill/credit facilities.	Invoices should be input in batches using control totals rather than just count checks, with sequence checks also built into the system.	*Petra Co / Freesia Co*
A responsible official authorising the payments list reviews only the total amount, not the detail of amounts per supplier.	Suppliers could be paid an incorrect amount, or sums paid to fictitious suppliers, without detection.	The official should review the whole list, agreeing amounts to supporting documentation and checking supplier names for duplicates/unfamiliar entries before authorising.	*Daley Co / Comet Publishing Co*
No system exists for stores/branches to transfer inventory between each other to fulfil customer requests.	The company may lose sales as customers are less likely to follow up with other branches themselves; slow-moving stock at one location may be needed elsewhere.	An inter-branch transfer system should be established, with inter-branch inventory forms completed for transfers.	*Comet Publishing Co*
One individual has responsibility for both ordering goods (below an authorisation threshold) and processing the related purchase invoices for payment.	Lack of segregation of duties increases the risk of fraud and non-business-related purchases going undetected.	Purchase ordering and invoice processing should be allocated to separate members of staff, with all orders requiring authorisation.	*Comet Publishing Co*
GRNs are sent to the accounts department too infrequently (e.g. only every two weeks).	Delays supplier payment as invoices cannot be matched to a GRN promptly; liabilities may be understated and prompt-payment discounts missed.	GRNs should be sent to accounts more frequently (e.g. daily), with a sequence check to ensure none are missing.	*Comet Publishing Co*
Supplier statement reconciliations are no longer performed.	Errors in the recording of purchases and payables may not be identified in a timely manner.	Supplier statement reconciliations should be performed monthly for all suppliers and reviewed by a responsible official.	*Comet Publishing Co*

Examiner's comments (real, attributed feedback from past sittings)

- Comet Publishing Co: performance on "steps to confirm the accuracy of prior-year flowcharts and system notes" was very disappointing — most candidates did not understand what flowcharts/system notes are and instead listed substantive or compliance tests for purchases/payables. The correct answer is discussion with management about changes, walkthrough tests, and updating the documentation.
- Comet Publishing Co: on substantive procedures, a significant number of candidates described tests relevant to trade PAYABLES (e.g. circularisation) when the requirement asked for PURCHASES — these are different populations (transactions during the year vs the year-end unpaid balance) and testing the wrong one earns no credit.
- Petra Co: candidates must be careful not to identify irrelevant deficiencies — pointing to a fact that is actually a strength (e.g. multi-part purchase orders when the scenario confirms they already are multi-part) suggests a memorised deficiency was recycled from another question rather than read from this scenario.

4. Sales, despatch & receivables cycle

Control objectives - what this system should achieve

- Orders are only accepted if goods are available and the customer is an acceptable credit risk.
- Orders are recorded completely and accurately.
- Goods despatched match orders and are invoiced completely, accurately and on a timely basis.
- Revenue is recorded in the correct period.
- Irrecoverable debts are minimised through active credit control.

Direct controls & tests of control (6 distinct controls)

Direct control	Why it's direct (specific misstatement prevented/detected)	Test of control	Source(s)
A new sales/receivables system was fully tested and run in parallel with the old system, with internal audit monitoring changes and following up discrepancies.	Reduces the risk that data is lost or processed incorrectly during migration, which could misstate receivables/revenue.	Review IA's testing documentation/schedule for appropriateness; for a new transaction, observe it being recorded in both systems and agree consistency of output.	*Whittaker Co / Equestrian Co*
New customers undergo a full (often automated) credit check, with the credit limit set and authorised/reviewed by the sales director.	Reduces the risk of lost revenue and uncollectable receivables by ensuring only creditworthy customers can place orders.	Select a sample of new customer accounts and confirm a credit check was performed and the limit was authorised before the account was used; inspect evidence of periodic limit reviews.	*Whittaker Co / Equestrian Co*
A monthly review of aged receivables identifies overdue balances, which are followed up by credit control.	Ensures debts are collected on a timely basis, reducing irrecoverable debts, and that balances are appropriately identified as irrecoverable.	Obtain the aged receivables report and confirm evidence of review; review follow-up documentation from credit control.	*Whittaker Co*
A monthly trade receivables reconciliation is prepared, errors	Ensures the receivables balance in the financial statements is accurate, with recording issues resolved promptly.	Review the file of reconciliations to confirm monthly performance; trace a sample of reconciling items	*Whittaker Co*

Direct control	Why it's direct (specific misstatement prevented/detected)	Test of control	Source(s)
resolved on a timely basis, and reviewed by the financial controller.		to supporting documentation and check for the FC's sign-off.	
Sales invoices are prepared using an approved, regularly updated company price list.	Reduces the risk of pricing errors when raising invoices, ensuring accuracy of revenue.	Inspect the price list for director approval and a recent review date; agree system prices to the approved list for a sample of invoices.	*Equestrian Co*
Sales discounts must be requested by a sales manager and formally authorised by the sales director.	Reduces the risk of fraud that would misstate revenue.	Attempt (with permission) to process an invoice with an unauthorised discount and confirm system rejection; inspect a sample of discounted orders for the director's authorising signature.	*Equestrian Co*

Control deficiencies, implications & recommendations (11 distinct deficiencies)

Control deficiency	Why it's a deficiency (specific implication)	Recommendation	Source(s)
Credit limits are set appropriately but are then only reviewed/changed if the customer specifically requests it.	Out-of-date limits could be too high (sales made to poor credit risks) or too low (lost revenue).	Limits should continue to be set as before but reviewed and amended regularly by a responsible official.	*Petra Co / Pomeranian Co / Snowdon Co*
Credit limits are set (and/or customer master data amended) by staff who are not sufficiently senior for the role, with no independent review of their decisions.	Limits may be set too high (irrecoverable debts) or too low (lost sales); junior staff having unrestricted master-file access also increases fraud risk.	Credit limits/master data changes should be handled by a senior team member, with regular independent review of any changes.	*Amberjack Co / Freesia Co*
No copy of the sales order/goods despatch note (GDN) is sent to the sales department for monitoring.	The department cannot monitor whether orders are fulfilled on a timely basis, risking lost revenue and customer goodwill.	The order/despatch form should be amended to include an extra copy routed to the sales department, with unmatched/unfulfilled orders reviewed regularly.	*Petra Co / Amberjack Co*
Discounts to customers are granted with no independent authorisation or subsequent review.	Unauthorised discounts could be given, or unrealistic discounts awarded simply to meet targets, resulting in lost revenue.	Discounts should require prior authorisation by a responsible official, with discount levels reviewed regularly for compliance.	*Petra Co / Amberjack Co*
GDNs are sent to relevant departments too infrequently, or are not given their own sequential numbering (e.g. sharing the sales order number).	Missing GDNs are hard to identify, risking late invoicing (cut-off issues, understated receivables) or lost revenue.	GDNs should have their own sequential numbering with regular sequence checks, and be routed to relevant departments promptly.	*Pomeranian Co / Amberjack Co*
The role responsible for credit control (chasing overdue receivables) is vacant for an extended period (e.g. leave or secondment) with no cover arranged.	No one is monitoring/chasing ageing receivables, increasing the risk of irrecoverable receivables and reduced cash flow.	An alternative team member should be trained in the credit control role and assigned responsibility for the period of absence.	*Pomeranian Co / Amberjack Co*

Control deficiency	Why it's a deficiency (specific implication)	Recommendation	Source(s)
The trade receivables account reconciliation is not performed/reviewed regularly enough (e.g. only annually, or only when differences arise).	The reconciliation could reconcile in total yet still contain significant (compensating) errors, or receivables errors may go unnoticed for a long period.	The reconciliation should be performed monthly, reviewed by a responsible official regardless of whether differences exist, and evidenced by signature.	*Pomeranian Co / Amberjack Co*
Overdue invoices are only chased well beyond the company's stated credit terms (e.g. after 90 days against 30-day terms), often by staff more focused on the customer relationship than collection.	Increased risk of irrecoverable balances and reduced cash flow.	A dedicated credit controller should be appointed whose role is to chase overdue invoices in line with the stated credit terms.	*Snowdon Co*
Additional/temporary staff, less experienced than regular sales clerks, are used to help produce sales invoices.	Increased risk of mistakes, resulting in customers being under/overcharged, misstated revenue, or dissatisfied customers.	Recruit/train more permanent staff where possible; if temporary staff are necessary, ensure adequate training and additional input checks.	*Amberjack Co*
Customer statements are no longer generated and sent to customers.	Errors and disputed invoices are less likely to be identified and resolved promptly, risking cash flow issues.	Monthly customer statements should be produced and sent promptly to all customers.	*Amberjack Co*
Customer order numbers are based on the salesperson's own identification number rather than a proper sequence.	It is difficult to identify missing orders or monitor whether all orders are despatched on time, risking lost customer goodwill.	Sales orders should be sequentially numbered, with regular sequence checks to identify missing orders.	*Freesia Co*

Examiner's comments (real, attributed feedback from past sittings)

- Whittaker Co: a note under the significant-deficiency knowledge requirement stressed the scenario did not need to be used, yet some candidates ignored this and gave control deficiencies from the scenario that were actually required for a later part — notes and capitalised words in requirements exist to guide you; don't ignore them.
- Amberjack Co: this question required a report to management with a covering letter, but it was disappointing how few candidates provided one, and of those who did, few included a suitable disclaimer statement (e.g. that the report only covers deficiencies identified during THIS audit, and further testing may reveal more).
- Petra Co: candidates who used their knowledge of sales systems well were able to generate strong control-objective answers, but it was more common to see answers giving controls or tests of controls instead of objectives — a control objective is the risk being mitigated, not the mechanism used to mitigate it.

5. Cash cycle

Control objectives - what this system should achieve

- Cash received is recorded completely and banked intact and promptly.
- Cash is held securely, with accountability for discrepancies traceable to an individual.
- Only authorised payments are made from cash/bank accounts.
- The bank balance is reconciled regularly and accurately.

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Direct controls & tests of control (5 distinct controls)

Direct control	Why it's direct (specific misstatement prevented/detected)	Test of control	Source(s)
A cashier/finance team member reconciles bank statements to the bank ledger account monthly, reviewed and investigated by a more senior official.	A key control reducing the risk of fraud; monthly review and investigation ensure fraud/errors are identified on a timely basis.	Review the file of reconciliations to confirm monthly performance; inspect a sample for evidence of review; reperform a sample and discuss differences.	*Snowdon Co / Caterpillar Co*
Tills are closed down daily, with readings reconciled to cash and card payment slips, and discrepancies noted.	Daily cashing-up controls the cash and reduces the risk of theft, as staff know discrepancies will be checked.	Review the file of daily reconciliations to confirm they take place; for reconciliations with discrepancies, discuss what action was taken.	*Caterpillar Co*
Cash is collected daily by a security company for transfer to the bank.	Safeguards cash and minimises the risk of theft while in transit.	Enquire how cash is transferred; review a sample of collection company invoices for daily collection charges; observe the collection process.	*Caterpillar Co*
Daily sales/cash and credit card data is transferred to head office via a daily interface.	Ensures sales and cash records are updated promptly and are complete and accurate.	Compare daily sales readings from individual stores to head office's records; review the date records were updated for promptness.	*Caterpillar Co*
A clerk agrees daily that cash banked and credit card receipts have been credited to the bank statement in full.	Ensures completeness of cash receipts, which arrive from two sources (security company and card operator).	Discuss the reconciliation process with the responsible clerk; review daily reconciliations to confirm the process was undertaken as described.	*Caterpillar Co*

Control deficiencies, implications & recommendations (12 distinct deficiencies)

Control deficiency	Why it's a deficiency (specific implication)	Recommendation	Source(s)
Bank reconciliations are performed or reviewed too infrequently, or only when the total of reconciling items is judged significant.	The reconciliation could still contain significant errors that cancel out (compensating errors), and infrequent review reduces the effectiveness of this key direct control at identifying fraud/errors on a timely basis.	Reconciliations should be performed at least monthly and reviewed by a responsible official REGARDLESS of whether any reconciling items exist, evidenced by signature.	*Daley Co / Whittaker Co / Equestrian Co / Camomile Co / Caterpillar Co*
Login credentials/access codes for cash systems (tills, internet banking) are shared or common across multiple staff.	Cash discrepancies or unauthorised transactions cannot be traced to a specific individual, and shared access increases the risk of fraud/misappropriation.	Each user should have a unique login/access code; access should be restricted to authorised personnel only and changed regularly.	*Whittaker Co / Camomile Co / Caterpillar Co*
One individual is responsible for multiple incompatible cash-handling duties (e.g. receiving/posting cash receipts, updating records, AND performing bank reconciliations).	Lack of segregation of duties means errors won't be identified on a timely basis, and increases the risk of fraud going undetected.	These key roles should be split between different individuals, ideally with reconciliations performed by someone who does not process cash.	*Freesia Co / Camomile Co / Caterpillar Co*
No log/record is maintained of petty cash requests or sundry purchase receipts.	Purchases could be non-business-related, or cash could be	A petty cash log should record each request (item, sum, date, employee); the float should be	*Daley Co / Camomile Co*

Control deficiency	Why it's a deficiency (specific implication)	Recommendation	Source(s)
	misappropriated, without this being identified.	reconciled weekly and missing receipts/cash followed up.	
Till/cash reconciliations to daily sales readings are performed in aggregate across all tills, rather than for each till individually.	It is difficult to identify which specific till caused a discrepancy, obscuring whether the cause is training or fraud.	Reconciliations should be performed on an individual till-by-till basis, with discrepancies investigated immediately.	*Camomile Co*
Daily sales/cash sheets are sent to head office too infrequently (e.g. only weekly).	Sheets could be misplaced in the meantime, resulting in incomplete sales and cash receipts data in the accounting system.	Sales sheets should be sequentially numbered and sent daily, with head office performing regular sequence checks.	*Camomile Co*
Cash/safe keys or access codes are not adequately secured (e.g. stored in an unlocked desk drawer).	Significant cash could be onsite at any time; poor key/code control risks significant losses through theft.	Replace with a digital-code safe or update access codes regularly, restricting knowledge to a small number of authorised staff.	*Camomile Co*
Credit card statements/receipts are not reviewed or reconciled to the bank.	Receipts of cash by credit card could be omitted without timely detection, causing difficulty resolving discrepancies with the card company.	Credit card vouchers/statements should be reconciled to the bank statement monthly, reviewed by a responsible official.	*Camomile Co*
A responsible official authorising the payments list reviews only the total amount, not the detail of amounts per payee.	Suppliers/payees could be paid an incorrect amount, or sums paid to fictitious payees, without detection.	The official should review the whole list, agreeing amounts to supporting documentation and checking names for duplicates/unfamiliar entries before authorising.	*Camomile Co*
Internal audit's cash control visits do not cover all locations (e.g. only the largest stores).	A large proportion of locations are never checked, increasing the likelihood of undetected control breakdowns and, in a cash business, theft.	IA should operate a rolling programme of visits covering all locations on a cyclical basis, though it can bias towards large/high-risk sites.	*Caterpillar Co*
Employees are permitted to personally serve friends/family members at the till.	Significant fraud risk: employees could fail to ring up the sale, undercharge, or give goods away, granting unauthorised discounts.	Employees should be barred from serving friends/family — a manager/supervisor should process these sales instead; CCTV near tills provides an additional deterrent.	*Caterpillar Co*
Cash movements outside the normal till process (e.g. obtaining change from the bank) are made with no record kept and no confirmation of amounts returned.	Risk of cash being misplaced or stolen in transit, or collusion between staff, with no way to detect it.	A float policy should be set centrally; any additional cash movements should be authorised by a manager with full recording of amounts in and out.	*Caterpillar Co*

Examiner's comments (real, attributed feedback from past sittings)

- Caterpillar Co: on control objectives for the cash receipts system, a significant number of candidates identified control PROCEDURES rather than objectives, and many did not link their objectives specifically to the cash receipts system an objective is the risk being addressed, not the control itself.
- Caterpillar Co: candidates often correctly identified direct controls from the scenario but frequently failed to explain WHY it was a direct control; auditors are advised that to test a control they need evidence the client actually carried it out, not just that the control exists in principle.

- Camomile Co / Caterpillar Co: recommendations must be tailored to the facts given — suggesting "one till per employee" was marked down where a store only has three or four tills; read the scenario's specific numbers before recommending a fix.

6. Inventory cycle & inventory count

Control objectives - what this system should achieve

- Inventory is counted completely and accurately at the count date.
- Existence and condition of inventory is confirmed; damaged/slow-moving items identified for NRV write-down.
- Cut-off is correctly identified at the count.
- Perpetual/system inventory records are updated promptly and accurately, and reconciled to physical counts.

Control deficiencies, implications & recommendations (17 distinct deficiencies)

Control deficiency	Why it's a deficiency (specific implication)	Recommendation	Source(s)
The inventory count is supervised/overseen by staff who are not independent of the inventory (e.g. the warehouse manager).	The individual may want to hide inefficiencies or conceal errors/fraud to avoid criticism of their department.	The count should be supervised by someone independent of the warehouse, such as a member of the accounts or internal audit department.	*Silver Co / Lily Window Glass Co / Pomeranian Co*
Counting teams (typically pairs) have no clear division of responsibilities.	Both members could end up counting together rather than one counting and one checking, so errors or omissions may go unnoticed.	Roles should be clearly defined in the count instructions: one counts, one records/checks, with test counts by the supervisor to confirm effectiveness.	*Silver Co / Lily Window Glass Co*
Counted areas are not properly/physically flagged as complete (e.g. marked on an office map rather than the physical location).	Areas could be omitted or double-counted if the record of what has been counted is not reliable, causing incorrect inventory quantities.	Counted areas/bays should be physically marked as such, with all areas inspected at the end of the count to confirm completeness.	*Silver Co / Lily Window Glass Co*
A non-specialist (e.g. the warehouse manager) assesses work in progress and/or raw material quantities, a role previously performed by an outside specialist.	The individual likely lacks the expertise to assess stage of completion or estimate quantities accurately, risking material misstatement of inventory.	A specialist should continue to perform this valuation (or, if no longer used, the non-specialist's valuation should be independently checked by a specialist).	*Silver Co / Lily Window Glass Co*
Inventory belonging to a third party is stored alongside the company's own stock with no clear method to exclude it from the count.	If not segregated, third-party goods may be counted and included in the company's own inventory valuation, overstating inventory.	Third-party inventory should be physically separated and clearly marked to prevent inclusion in the count and final valuation.	*Silver Co / Lily Window Glass Co*
Inventory movements in/out of the warehouse continue during the count with no specific control in place.	Goods may be double-counted or missed due to movement during the count, under/overstating inventory records.	Movements should be minimised where possible; goods due to move that day should be estimated/set aside and counted once, separately, rather than halting production if not operationally possible.	*Silver Co / Lily Window Glass Co*

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Control deficiency	Why it's a deficiency (specific implication)	Recommendation	Source(s)
Count sheets are pre-printed with expected quantities from inventory records.	Counters may simply agree the pre-populated numbers rather than physically counting, resulting in over/understated quantities.	Count sheets should show only product codes/descriptions, not quantities, forcing counters to record what they actually count.	*Silver Co*
Only a single count is performed, with no independent second count or supervisor test-check.	It is difficult to tell whether differences between the count and book quantities are counting errors or genuine adjustments.	A second count should be performed by a different team; the supervisor should also carry out test counts throughout.	*Silver Co*
Certain categories of inventory (e.g. deemed unusable or obsolete) are excluded from the count entirely.	Inventory could be understated, and uncounted/unlisted items are at greater risk of undetected misappropriation.	All items should be counted regardless of condition; potentially obsolete items should be flagged for later valuation consideration.	*Silver Co*
Completed count sheets are used to update inventory records immediately, with no investigation of count differences first.	Significant variances could indicate fraud or recording inaccuracies, resulting in under/overstated inventory if not investigated.	All differences should be investigated to establish whether records or the count are wrong; only then should records be amended.	*Silver Co*
Internal audit performs some of the inventory counting itself, rather than independently reviewing or test-checking the counts performed by others.	If IA is counting rather than overseeing, issues with the count's accuracy/effectiveness may not be independently identified.	IA should instead sample-check the counting performed by the count teams, providing an extra layer of control over completeness and accuracy.	*Lily Window Glass Co*
Additional/replacement count sheets (for items not on the pre-printed sheets) are not sequentially numbered.	The supervisor cannot ensure completeness of all inventory sheets used, risking understated inventory.	Additional sheets should be pre-numbered sequentially, with unused sheets returned and checked at the end of the count.	*Lily Window Glass Co*
Completed count sheets are not signed by the counting team.	If issues arise with counting in a particular area, it is difficult to identify which team was responsible.	All count sheets should be signed by the relevant team on completion, checked by the supervisor when sheets are returned.	*Lily Window Glass Co*
Damaged goods identified during the count are not physically separated from good inventory.	The finance team cannot properly assess the level of write-down needed without seeing the goods, and damaged items risk being inadvertently sold or moved.	Damaged goods should be clearly flagged and moved to a central location for inspection and write-down assessment by finance.	*Lily Window Glass Co*
Standard costs used for inventory valuation have not been kept up to date.	Costs may not reflect changes in raw material/wage inflation, misstating inventory value and profit, and potentially breaching IAS 2's requirement that standard costs closely approximate actual cost.	A senior manager should review standard costs against actual costs, with the revision reviewed and evidenced at least annually.	*Pomeranian Co / Freesia Co*
High-value inventory is secured by a single access code shared across all storage sites.	A large number of people know the code and could access inventory at any site, significantly increasing theft/fraud risk.	Each site should have a unique access code, known only to a small number of senior staff, changed regularly.	*Equestrian Co*
Scheduled perpetual inventory counts are outstanding/incomplete at some sites.	Not all inventory lines will have been counted at least once in the year, risking incorrect inventory records used for decision-making and reporting.	The counting programme should be reviewed for omissions, with any outstanding lines subject to an additional count before the year end.	*Equestrian Co*

Examiner's comments (real, attributed feedback from past sittings)
• Silver Co: candidates must record the actual deficiency, not just a fact from the scenario — stating "the company manufactures goods 24 hours a day, seven days a week" was not itself a deficiency and scored nothing on its own. • Pomeranian Co: a perpetual inventory system is a perfectly acceptable method as long as it is well managed — candidates who flagged its mere existence as a deficiency and recommended a full year-end count instead gained no credit. • Lily Window Glass Co: the requirement asked in capitals for procedures DURING the count, but a significant proportion of candidates ignored this and gave procedures for before and after the count instead — some answers literally began "before the count..." despite the wording. • Lily Window Glass Co: recommending that production be halted for the count showed a failure to read the scenario, which explicitly stated continuous 24/7 production — a workable recommendation must fit the facts given, not override them.

7. Non-current assets cycle

Control objectives - what this system should achieve
• Asset additions and disposals are properly authorised. • Capital versus revenue expenditure is correctly classified. • Assets are physically verified on a regular basis and the register is complete and accurate. • Asset expenditure is controlled against approved budgets.

Direct controls & tests of control (1 distinct controls)

Direct control	Why it's direct (specific misstatement prevented/detected)	Test of control	Source(s)
New asset purchase orders are classified capital/revenue per formal company policy, with the finance director sample-checking the classification, evidenced by signature.	Reduces the risk of misclassification, which would misstate profit, non-current assets and depreciation charges.	Select a sample of asset purchase orders and review evidence the classification followed policy and was sample-checked by the FD.	*Francisco Co / Snowdon Co*

Control deficiencies, implications & recommendations (5 distinct deficiencies)

Control deficiency	Why it's a deficiency (specific implication)	Recommendation	Source(s)
Physical verification of non-current assets falls significantly behind schedule (e.g. internal audit's rotation cycle would take many years to cover all sites, or a current programme is only partly complete).	Increased risk that assets are misappropriated or misplaced undetected, as there is no check they still exist in their correct location; obsolete assets may also remain in the register.	Additional resources should be devoted to completing verification within the stated policy period, with unlocated assets investigated and written off if necessary.	*Daley Co / Pomeranian Co / Snowdon Co / Equestrian Co*

Control deficiency	Why it's a deficiency (specific implication)	Recommendation	Source(s)
Asset expenditure has significantly exceeded approved budgets, with no apparent control point in the authorisation process.	Uncontrolled overspend, resulting in increased costs and reduced profits.	Monthly management accounts should analyse asset expenditure against budget; purchase orders for assets should be compared to budget as part of authorisation, with excess spend requiring additional sign-off.	*Francisco Co / Snowdon Co*
Ownership documents and lease agreements are not properly stored, and a number cannot be located.	Risk of difficulty proving ownership/right of use on future disposal, plus the cost of obtaining duplicate documents.	Request copies of missing documents from the company's lawyers; store all documents securely (e.g. fireproof safe, or offsite with lawyers/bankers) and maintain a reconciled log.	*Francisco Co*
A significant accounting policy change (e.g. the capitalisation threshold) was made without board discussion or approval.	Significant policy changes require governance oversight; an inappropriately high threshold could result in costs being wrongly written off and understated PPE.	Significant accounting policy changes should be discussed and formally approved at board level, with a record kept in the minutes.	*Daley Co*
Asset expenditure authorisation limits for department heads are set too high.	A significant sum could be spent with limited oversight, leaving scope for non-business use or unnecessary asset purchases, reducing profit and cash flow.	The authorisation limit should be reduced to a more appropriate level, with amounts above it requiring board (or an asset expenditure committee's) approval.	*Pomeranian Co*

Examiner's comments (real, attributed feedback from past sittings)

- Francisco Co: the ISA 265 knowledge parts (defining a significant deficiency, describing matters relevant to significance) are answerable without reference to the scenario at all — a note under the requirement said so explicitly, yet marks were still lost by candidates who tried to force a scenario link or under-wrote their answer.

8. Internal audit

Deficiency about the IA function itself

Control deficiency	Why it's a deficiency (specific implication)	Recommendation	Source(s)
Internal audit has experienced significant staff shortages, reducing its programme of work for the year.	IA is an important monitoring control; shortages or lack of experience reduce the effectiveness of testing whether controls are operating effectively company-wide.	Recruit additional IA staff, or consider outsourcing the function; in the interim, second staff from other departments, provided they don't review their own area.	*Snowdon Co / Equestrian Co*

Key knowledge points

Topic	What you need to know
Scope vs external audit	IA serves management/TCWG on effectiveness of controls, risk management and governance. External audit gives an independent opinion on true and fair view to shareholders.
Relying on IA's work (ISA 610)	Review IA's working papers AND independently reperform a sample of their tests. An audit committee's existence, or a personal relationship with IA staff, is NOT sufficient justification alone.
Assigning work to IA (direct assistance)	Must NOT involve significant judgement, high risk of material misstatement, or an area IA has itself already worked on (self-review threat).
Outsourcing IA - advantages	Access to specialist skills, flexibility, lower fixed cost, independence from day-to-day management.
Outsourcing IA - disadvantages	Loss of in-house knowledge, potential objectivity concerns, transition costs, confidentiality risk.
Impact of establishing IA on the external auditor	Concrete examples score best - e.g. using IA's systems documentation at interim, or relying on an IA-performed inventory count at final.
Reporting IA findings	Should go to those charged with governance, not only to a single executive who might treat findings as personal criticism and suppress them.

Examiner's comments (real, attributed feedback from past sittings)

- Bronze Industries Co: many candidates gave lengthy general answers about the role of internal audit, or about factors to consider before placing reliance on it, instead of the specific concrete examples the requirement asked for (e.g. relying on IA's interim systems documentation, or IA-performed year-end inventory counts).
- Raspberry Co: some candidates only listed IA assignments rather than describing them, and others gave assignments irrelevant to the client's actual business (e.g. suggesting "mystery shopping" for a power station) - tailor knowledge answers to the scenario given.

9. OTQ quick-fire patterns (Section A, Q76-95)

OTQ pattern	How to answer it
Strength vs deficiency of a described feature	Is the control COMPLETE (includes a check/review closing the risk)? Yes = strength. Missing step = deficiency.
Match deficiency to its risk/explanation	Trace to the specific business consequence, not a generic fraud/error label.
Pick the correct recommendation	Reject options that only partially close the gap or hand control to unqualified/junior staff.
Test of control vs substantive procedure	TOC = evidence the CLIENT's control operated. Substantive = evidence about the NUMBER in the financial statements.
General IT control vs application control	General = whole system. Application = one cycle's processing.
Reliance on internal audit's work	Always: review working papers AND reperform a sample of tests.

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OTQ pattern	How to answer it
Suitability of an area for IA direct assistance	Reject options with significant judgement, high risk of MM, or self-review threat.
Control objective vs the control itself	Objective = the risk being mitigated. Control = the mechanism achieving it.